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Doc, we had that massive positive gamma strike sitting above us. So much open interest I didn't think we'd ever get through it. How did we just punch right through it?



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Got this question after yesterday's session — paraphrasing, but the gist: “Doc, we had that massive positive gamma strike sitting above us. So much open interest I didn't think we'd ever get through it. How did we just punch right through it?”

Good question. Let's talk about what actually happens at these levels — and what it takes to clear them.

When We Run Through A Big Gamma Strike



(Notice the Greek Letters on the columns? Clever, eh?)

On The Way Up

Grinding into a big positive gamma strike is a fight.

Market makers are long those calls. Delta keeps climbing as price rises — so they sell futures. Mechanically. Relentlessly. Every uptick gets met with programmatic selling. The bigger the open interest at that strike, the heavier the hand on the scale.

That's not resistance from scared sellers. That's billions of dollars doing math.

Three steps forward, two steps back. Price churns near the strike — pushing up, getting sold, slipping, trying again. Net progress measured in ticks, not points. You're not imagining it. You're watching price work for every handle against a headwind built from dealer hedging obligations.

And here's the part most people miss — that headwind actually gets heavier as you approach the strike, not lighter. Gamma peaks right at the money. The closer price gets to that strike, the more aggressively dealers have to sell. The concrete gets thickest right before it shatters.

Meanwhile, as the market grinds higher, implied volatility is quietly getting crushed — and time is ticking. Both of those forces are pushing dealer deltas higher in the background, which means even more hedging selling, even before price touches the strike. A pressure cooker building behind the wall.

But here's what my subscriber was missing — dealer hedging is one side of the tape. On the other side? Real money. Institutions rebalancing. Hedge funds adding exposure. CTAs getting triggered as momentum signals flip. Leveraged ETFs doing their daily resets. Sovereign wealth funds with size that makes most traders dizzy.

That's not retail chasing. That's coordinated, systematic buying that doesn't care about the gamma strike — it cares about its mandate. When that tide is running, it doesn't stop at a strike. It grinds through it.

As We Punch Through

When price clears the strike, the gamma curve doesn't gradually fade — it falls off a cliff.

Those calls are now in-the-money. Delta is locking in toward 1.0. The mathematical obligation to keep hedging evaporates rapidly. It's not a slow bleed — it's a sudden unburdening. The dealers still have short futures on the books, but the urgent need to add more selling ? Gone.

That's why the snap through feels different from the grind into it.

What The Position Looks Like Now

That massive strike that was above the market? It's below it now.

The MM is sitting on a large short futures position — built up tick by tick on the way through. If price pulls back toward that strike, their delta drops. Say from 0.90 back toward 0.60. Suddenly they're over-hedged on the short side.

They have to buy back those short futures to rebalance.

That bid is the floor. Not support from new buyers stepping in — dealers covering their own hedge. The natural elasticity of the market holding price suspended above the strike.

The wall became the floor. Same strike. Same contracts. Completely different behavior — because price location changed everything.

The Gap Above

Between that consumed strike and the next significant one? Nothing.

No large open interest. No hedging obligations. No one doing math against you.

Here's what traders misread every time — they see price suddenly moving and think buyers got aggressive. They didn't. The programmatic friction just vanished. The same order flow that was yielding ticks in the grind is now yielding full handles.

Same river. The rocks are gone.

That's not a breakout. That's what happens when the structure underneath finally gets cleared.

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